



### Britannia Consolidated Q4FY22 results were better than estimates

- Revenue increased by 13.4% YoY to Rs 35504.5mn aided by mid-single digit volume growth.
- EBIDTA margins** improved to 15.5% from 15.1% on a QoQ basis, however below 16.1% YoY. Judicious price increase taken led Gross margins remain stable on a QoQ basis and
- EBIDTA on absolute basis grew by 8.8% YoY to Rs 5496.8mn, however 42.5% rise in interest expenses and drop of 14.8% in other Income led PBT grow by 5.4% only.
- PAT increased by 4.3% YoY to Rs 3798.7mn

#### Outlook:

- Good growth in challenging environment.
- Price Hike calls to be taken on MoM basis, an additional 10% is required if one assumes spot price of commodities remain stable for the year. Britannia is covered for short-term period.
- Dairy crosses Rs 5bn turnover aim to reach Rs 20bn in next 5 years.
- On the balance sheet side ICD exposure towards group companies Rs 7.4bn v/s 7.9bn YoY and 5.8bn QoQ. Plan is to reduce the same.

#### Financial Summary

| Y/E Mar (Rs mn) | FY20    | FY21    | FY22E   | FY23E   | FY24E   |
|-----------------|---------|---------|---------|---------|---------|
| Net sales       | 115,996 | 131,361 | 141,363 | 152,355 | 165,380 |
| EBIDTA          | 18,432  | 25,092  | 22,015  | 25,440  | 27,445  |
| Margins         | 15.9    | 19.1    | 15.6    | 16.7    | 16.6    |
| PAT (adj)       | 14,155  | 18,643  | 15,396  | 18,242  | 20,073  |
| growth (%)      | 22.1    | 31.7    | (17.4)  | 18.5    | 10.0    |
| EPS             | 58.9    | 77.4    | 63.9    | 75.7    | 83.3    |
| P/E (x)         | 57.4    | 43.7    | 52.9    | 44.6    | 40.6    |
| P/B (x)         | 18.5    | 23.0    | 31.8    | 22.3    | 16.8    |
| EV/EBITDA (x)   | 43.4    | 32.2    | 37.3    | 31.9    | 29.3    |
| RoE (%)         | 32.1    | 52.6    | 60.2    | 49.9    | 41.3    |
| ROCE (%)        | 27.9    | 40.6    | 39.6    | 42.6    | 39.9    |

Source: Dalal and Broacha

| Rating             | TP (Rs)      | Up/Dn (%) |
|--------------------|--------------|-----------|
| <b>BUY ON DIPS</b> | <b>3,748</b> | <b>11</b> |

#### Market data

|                      |           |             |
|----------------------|-----------|-------------|
| Current price        | Rs        | 3,385       |
| Market Cap (Rs.Bn)   | (Rs Bn)   | 815         |
| Market Cap (US\$ Mn) | (US\$ Mn) | 10,657      |
| Face Value           | Rs        | 1           |
| 52 Weeks High/Low    | Rs        | 4153 / 3050 |
| Average Daily Volume | ('000)    | 229         |
| BSE Code             |           | 500825      |
| Bloomberg            |           | BRIT.IN     |

Source: Bloomberg

#### One Year Performance



Source: Bloomberg

| % Shareholding | Mar-22     | Dec-21     |
|----------------|------------|------------|
| Promoters      | 50.55      | 50.55      |
| Public         | 49.45      | 49.45      |
| <b>Total</b>   | <b>100</b> | <b>100</b> |

Source: BSE

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## Conference Call KTA's continue

- **A .Q4FY22 highlights**
  - Volume growth Q4FY22 @ mid-single digit
  - Market Share in Urban ~ 39% & 27% in Rural, aim is to equalize Rural to Urban and products like Milk Bikis and Tiger Crunch (growing @ 30%+) are helping and Glucose contribution has reduced to 18% now. Market Share gains in FY22 ~ 80bps from regional and smaller players.
  - Low unit packs i.e. Rs 5/- and 10/- contribute ~55% Revenue
  - Cost Efficiencies over FY14 5x on overall basis, doubling up plans in FY23. Target of power from Renewable source is ~60%.
  - Overall commodity Inflation for Britannia YoY basis was 17% for Q4FY22( 14% for full year): flour +1%|| Sugar +7% || Laminates +20% || RPO +26% || Cashew 35%|| Corrugated Box +21%
- **B. Network & Distribution highlights**
  - **Direct Reach:** 24.9 lac outlets v/s 23.7 lacs in Mar -21
  - **Rural distribution @** 26k distributors v/s 23K March-21
  - Focus state growth was 1.2x of country average
  - Channels growth is back
- **D. Recent Launches & their revenue:**
  - Winkin Cow: cross Rs 1bn sales, Kesar & Badam flavors added
  - Dahi: Re-launched
  - Good Day-harmony premium offering launched doing well
  - Golmaal 50:50 Jeera launched in East
  - Jeera Marie in Tamil Nadu, expect this to be a block-buster in South.
  - **50:50 Potazos** expanded to newer markets
  - Croissant - Mixed Fruit launched, had to be fine-tuned for Indian customers.
  - Crème Wafers: in coconut flavor launched
- **E. International business:**
  - Nepal doing well and touched Rs 1bn revnue
  - Distribution Revamp in M. East to expand reach
- **F. Adjacent categories (including Milk @ 5% of Sales) contribute ~25bn to full year turnover**
  - Dairy cross Rs 5bn in Revenue
  - As per Q3-update Milk collection increased from 35,000 to 60,000 litres per day, with increase in farmers from 1500 to 2500 this year. Currently is given to contract manufacturer and would be utilized by Britannia in-house from Q2FY23. Dairy Capex is Rs 6.5bn
  - Bread and Rusks did well with good margins
- **Capex FY23 @ Rs 6.5bn –Rs 7bn.**
- **Ranjangaon plant:**
  - Raw Cheese, Yogurt,Powder-line and Drinks to commercialized in next 2 months
  - Processed cheese to start by Jan-23

## Quarterly Financials

| Particulars (Rs Mns)                | Q4FY22          | Q4FY21          | Growth       | Q3FY22          | Growth       |
|-------------------------------------|-----------------|-----------------|--------------|-----------------|--------------|
| <b>Consolidated</b>                 |                 |                 |              |                 |              |
| Net Sales                           | 35,083.5        | 30,381.3        | 15.5%        | 35,307.0        | -0.6%        |
| Other Op Income                     | 421.0           | 926.2           | -54.5%       | 442.8           | -4.9%        |
| <b>Total OP Income</b>              | <b>35,504.5</b> | <b>31,307.5</b> | <b>13.4%</b> | <b>35,749.8</b> | <b>-0.7%</b> |
| Add: O. Income                      | 538.3           | 631.9           | -14.8%       | 551.3           | -2.4%        |
| <b>Total Income</b>                 | <b>36,042.8</b> | <b>31,939.4</b> | <b>12.8%</b> | <b>36,301.1</b> | <b>-0.7%</b> |
| RAW MATERIALS                       | (21,998.7)      | (18,636.2)      | 18.0%        | (22,196.0)      | -0.9%        |
| Employee Cost                       | (1,214.2)       | (1,242.0)       | -2.2%        | (1,279.1)       | -5.1%        |
| O. Exps                             | (6,794.8)       | (6,375.4)       | 6.6%         | (6,877.5)       | -1.2%        |
| EBIDTA                              | 6,035.1         | 5,685.8         | 6.1%         | 5,948.5         | 1.5%         |
| <b>EBIDTA Less O. Inc</b>           | <b>5,496.8</b>  | <b>5,053.9</b>  | <b>8.8%</b>  | <b>5,397.2</b>  | <b>1.8%</b>  |
| Less Int                            | (337.5)         | (236.9)         | 42.5%        | (373.8)         | -9.7%        |
| Less Depn                           | (509.3)         | (528.2)         | -3.6%        | (503.8)         | 1.1%         |
| <i>Less Exceptional</i>             | -               | -               |              | (9.8)           |              |
| <b>PBT Before Exceptio</b>          | <b>5,188.3</b>  | <b>4,920.7</b>  | <b>5.4%</b>  | <b>5,070.9</b>  | <b>2.3%</b>  |
| PBT                                 | 5,188.3         | 4,920.7         | 5.4%         | 5,061.1         | 2.5%         |
| Less Tax                            | (1,409.6)       | (1,325.8)       | 6.3%         | (1,362.2)       | 3.5%         |
| Share of Profit/Loss from Associate | 0.8             | 5.8             | -86.2%       | (7.1)           | -111.3%      |
| Minority Interest                   | -               | -               |              | -               |              |
| PAT Reportd                         | 3,779.5         | 3,600.7         | 5.0%         | 3,691.8         | 2.4%         |
| <b>PAT Adjusted Owner Share</b>     | <b>3,798.7</b>  | <b>3,643.2</b>  | <b>4.3%</b>  | <b>3,721.7</b>  | <b>2.1%</b>  |
| Equity                              | 240.9           | 240.7           |              | 240.9           |              |
| <b>EPS ( Adjusted PAT)</b>          | <b>15.8</b>     | <b>15.1</b>     |              | <b>15.4</b>     |              |
| OPM                                 | 15.5%           | 16.1%           |              | 15.1%           |              |
| NPM                                 | 10.5%           | 11.3%           |              | 10.2%           |              |
| Tax Rate                            | 27.2%           | 26.9%           |              | 26.9%           |              |
| <b>% to Operating Income</b>        |                 |                 |              |                 |              |
| RAW MATERIALS                       | 62.0%           | 59.5%           |              | 62.1%           |              |
| Employee Cost                       | 3.4%            | 4.0%            |              | 3.6%            |              |
| O. Exps                             | 19.1%           | 20.4%           |              | 19.2%           |              |
| Total                               | 84.5%           | 83.9%           |              | 84.9%           |              |

Source: Dalal & Broacha Research, Company

## Valuation

We believe Britannia did really well in this challenging environment with volume growth of mid-single digit as against the industry's flat to negative growth rate.

Short-term cover for its commodities and judicious price increase with strong brand would help the company sail through this difficult times.

Britannia's innovative pipeline continues and some products like Winkin Cow crossing Rs 1bn turnover are doing really well.

At CMP of Rs 3534 Britannia trades at 45x FY23e EPS of Rs 76 and 40x FY23e EPS of Rs 84. We maintain **BUY ON DIPS** With a target price of Rs 3748 (i.e.45x FY24 earnings)

# Financials

| P&L (Rs mn)                      | FY20              | FY21              | FY22              | FY23E             | FY24E             |
|----------------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Net Operating Income             | 115,995.5         | 131,361.4         | 141,362.6         | 152,354.5         | 165,379.5         |
| Raw materials                    | (69,274.7)        | (76,261.0)        | (87,603.0)        | (91,412.7)        | (99,227.7)        |
| Employee costs                   | (4,866.9)         | (5,273.8)         | (5,422.6)         | (5,964.9)         | (6,561.3)         |
| Other Expenses                   | (23,422.1)        | (24,734.3)        | (26,321.9)        | (29,536.8)        | (32,145.4)        |
| Cost of sales                    | (97,563.7)        | (106,269.1)       | (119,347.5)       | (126,914.4)       | (137,934.4)       |
| <b>Operating Profit</b>          | <b>18,431.8</b>   | <b>25,092.3</b>   | <b>22,015.1</b>   | <b>25,440.1</b>   | <b>27,445.1</b>   |
| Depreciation                     | (1,848.1)         | (1,978.5)         | (2,005.4)         | (2,306.0)         | (2,531.5)         |
| PBIT                             | 16,583.7          | 23,113.8          | 20,009.7          | 23,134.1          | 24,913.6          |
| Other income                     | 2,794.0           | 3,129.3           | 2,228.3           | 2,068.9           | 2,586.6           |
| Interest                         | (769.0)           | (1,109.0)         | (1,302.7)         | (928.3)           | (768.3)           |
| Profit before tax                | 18,608.7          | 25,134.1          | 20,935.3          | 24,274.7          | 26,731.9          |
| Extraordinary Items /Except      | (170.1)           | -                 | -                 | -                 | -                 |
| Profit before tax(post Except    | 18,438.6          | 25,134.1          | 20,935.3          | 24,274.7          | 26,731.9          |
| Provision for tax                | (4,507.0)         | (6,630.2)         | (5,623.5)         | (6,109.9)         | (6,728.4)         |
| <b>Reported PAT</b>              | <b>13,931.6</b>   | <b>18,503.9</b>   | <b>15,311.8</b>   | <b>18,164.8</b>   | <b>20,003.5</b>   |
| Share of Pft and Loss of         |                   |                   |                   |                   |                   |
| Asociates and Minority Int       | 94.7              | 141.2             | 86.4              | 77.4              | 69.2              |
| <b>Adjusted PAT</b>              | <b>14,154.8</b>   | <b>18,643.5</b>   | <b>15,395.5</b>   | <b>18,242.1</b>   | <b>20,072.7</b>   |
| Cash Flow St. (Rs. mn)           | FY20              | FY21              | FY22              | FY23E             | FY24E             |
| Net Profit                       | 14,026.3          | 18,639.0          | 15,388.4          | 18,242.1          | 20,072.7          |
| Add: Dep. & Amort.               | 1,848.1           | 1,978.5           | 2,005.4           | 2,306.0           | 2,531.5           |
| <b>Cash profits</b>              | <b>15,874.4</b>   | <b>20,617.5</b>   | <b>17,393.8</b>   | <b>20,548.2</b>   | <b>22,604.2</b>   |
| (Inc)/Dec in                     |                   |                   |                   |                   |                   |
| -Sundry debtors                  | 738.8             | 630.9             | (746.6)           | (258.1)           | (305.8)           |
| -Inventories                     | 404.2             | (3,505.3)         | (2,760.0)         | 1,152.6           | (1,070.5)         |
| -Loans/advances                  | (1,507.3)         | 786.8             | 2,205.8           | (511.2)           | (547.0)           |
| -Sundry creditors                | (242.3)           | 1,984.7           | (295.3)           | 671.9             | 1,156.2           |
| -Others                          | 872.4             | 2,363.1           | 1,813.2           | 346.6             | 364.0             |
| Change in working capital        | 265.8             | 2,260.2           | 217.1             | 1,401.8           | (403.2)           |
| <b>CF from Oper. activities</b>  | <b>16,140.2</b>   | <b>22,877.7</b>   | <b>17,610.9</b>   | <b>21,950.0</b>   | <b>22,201.0</b>   |
| <b>CF from Inv. activities</b>   | <b>(17,299.5)</b> | <b>(770.5)</b>    | <b>4,383.6</b>    | <b>(3,143.2)</b>  | <b>(5,500.0)</b>  |
| <b>CF from Fin. activities</b>   | <b>1,289.6</b>    | <b>(21,222.3)</b> | <b>(22,258.9)</b> | <b>(14,437.3)</b> | <b>(11,957.5)</b> |
| <b>Cash generated/(utilised)</b> | <b>130.3</b>      | <b>884.9</b>      | <b>(264.4)</b>    | <b>4,369.5</b>    | <b>4,743.5</b>    |
| Cash at start of the year        | 1,098.2           | 1,228.5           | 2,113.4           | 1,849.0           | 6,218.5           |
| Cash at end of the year          | 1,228.5           | 2,113.4           | 1,849.0           | 6,218.5           | 10,962.0          |
| Balance Sheet                    | FY20              | FY21              | FY22              | FY23E             | FY24E             |
| Equity capital                   | 240.5             | 240.9             | 240.9             | 240.9             | 240.9             |
| Reserves                         | 43,787.8          | 35,235.7          | 25,340.1          | 36,285.4          | 48,329.0          |
| <b>Net worth</b>                 | <b>44,028.3</b>   | <b>35,476.6</b>   | <b>25,581.0</b>   | <b>36,526.3</b>   | <b>48,569.9</b>   |
| Def. Tax Liab.+Minority Int.     | 356.5             | 363.4             | 275.0             | 354.6             | 426.2             |
| Secured loans                    | 7,660.6           | 7,471.5           | 7,069.9           | 7,069.9           | 5,069.9           |
| Unsecured loans                  | 7,479.9           | 13,571.5          | 17,585.5          | 10,365.5          | 8,365.5           |
| Total debt                       | 15,140.5          | 21,043.0          | 24,655.4          | 17,435.4          | 13,435.4          |
| <b>CAPITAL EMPLOYED</b>          | <b>59,525.3</b>   | <b>56,883.0</b>   | <b>50,511.4</b>   | <b>54,316.2</b>   | <b>62,431.5</b>   |
| Gross block                      | 23,954.9          | 25,111.8          | 26,682.7          | 30,682.7          | 33,682.7          |
| Accumulated depreciation         | (6,562.8)         | (8,541.3)         | (10,546.7)        | (12,852.7)        | (15,384.2)        |
| Net block                        | 17,392.1          | 16,570.5          | 16,136.0          | 17,830.0          | 18,298.5          |
| Capital WIP                      | 395.5             | 1,165.2           | 5,356.8           | 2,000.0           | 2,000.0           |
| <b>Total fixed assets</b>        | <b>17,787.6</b>   | <b>17,735.7</b>   | <b>21,492.8</b>   | <b>19,830.0</b>   | <b>20,298.5</b>   |
| Goodwill                         | 1,389.7           | 1,359.0           | 1,396.1           | 1,396.1           | 1,396.1           |
| Investments                      | 28,932.3          | 27,806.9          | 17,623.7          | 20,123.7          | 22,623.7          |
| Inventories                      | 7,409.6           | 10,914.9          | 13,674.9          | 12,522.3          | 13,592.8          |
| Sundry debtors                   | 3,203.6           | 2,572.7           | 3,319.3           | 3,577.4           | 3,883.2           |
| Cash & bank                      | 1,228.5           | 2,113.4           | 1,849.0           | 6,218.5           | 10,962.0          |
| Loans & advances                 | 13,130.6          | 9,995.0           | 7,980.0           | 7,980.0           | 7,980.0           |
| Other current assets             | 5,144.8           | 7,493.6           | 7,302.8           | 7,814.0           | 8,361.0           |
| Sundry creditors                 | (11,162.8)        | (13,147.5)        | (12,852.2)        | (13,524.1)        | (14,680.3)        |
| O. Current Liabilities           | (5,563.1)         | (6,095.7)         | (6,932.5)         | (7,279.1)         | (7,643.1)         |
| Provisions                       | (2,044.2)         | (3,874.7)         | (4,851.1)         | (4,851.1)         | (4,851.1)         |
| <b>Working capital</b>           | <b>11,347.0</b>   | <b>9,971.7</b>    | <b>9,490.2</b>    | <b>12,457.9</b>   | <b>17,604.6</b>   |
| Deferred Tax Assets              | 68.7              | 9.7               | 508.6             | 508.6             | 508.6             |
| Miscellaneous exp.               | -                 | -                 | -                 | -                 | -                 |
| <b>CAPITAL DEPLOYED</b>          | <b>59,525.3</b>   | <b>56,883.0</b>   | <b>50,511.4</b>   | <b>54,316.2</b>   | <b>62,431.5</b>   |
| Ratios                           | FY20              | FY21              | FY22              | FY23E             | FY24E             |
| OPM                              | 15.9              | 19.1              | 15.6              | 16.7              | 16.6              |
| NPM                              | 11.9              | 13.9              | 10.7              | 11.8              | 12.0              |
| Tax rate                         | (24.4)            | (26.4)            | (26.9)            | (25.2)            | (25.2)            |
| <b>Growth Ratios (%)</b>         |                   |                   |                   |                   |                   |
| Net Sales                        | 4.9               | 13.2              | 7.6               | 7.8               | 8.5               |
| Operating Profit                 | 6.3               | 36.1              | (12.3)            | 15.6              | 7.9               |
| PAT                              | 22.1              | 31.7              | (17.4)            | 18.5              | 10.0              |
| <b>Per Share (Rs.)</b>           |                   |                   |                   |                   |                   |
| Net Earnings (EPS)               | 59                | 77.4              | 63.9              | 75.7              | 83.3              |
| Cash Earnings (CPS)              | 66                | 86                | 72                | 85                | 94                |
| Dividend                         | 35.0              | 145.0             | 25.6              | 30.3              | 33.3              |
| Book Value                       | 183.1             | 147.3             | 106.2             | 151.6             | 201.6             |
| Free Cash Flow                   | (4.82)            | 91.77             | 91.30             | 78.07             | 69.33             |
| <b>Valuation Ratios</b>          |                   |                   |                   |                   |                   |
| P/E(x)                           | 57.4              | 43.7              | 52.9              | 44.6              | 40.6              |
| P/B(x)                           | 18.5              | 23.0              | 31.8              | 22.3              | 16.8              |
| EV/EBITDA(x)                     | 43.4              | 32.2              | 37.3              | 31.9              | 29.3              |
| Div. Yield(%)                    | 1.0               | 4.3               | 0.8               | 0.9               | 1.0               |
| FCF Yield(%)                     | (0.1)             | 2.7               | 2.7               | 2.3               | 2.1               |
| <b>Return Ratios (%)</b>         |                   |                   |                   |                   |                   |
| ROE                              | 32.1              | 52.6              | 60.2              | 49.9              | 41.3              |
| ROCE                             | 27.9              | 40.6              | 39.6              | 42.6              | 39.9              |

Source: Dalal & Broacha Research, Company

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